

[Table 56.3](#) gives an example of how to check the probability of the trade failing to reach the target. Refer to the discussion of the table for a cheap thrill.

Buy above 30% retrace. For upward breakouts, the typical entry means buying when price closes above the dome high. If you like to take more risk, buy at a lower price (30% of the formation height, above the right rim low). I use the 30% retrace amount since a rise of that magnitude usually breaks a down-sloping trendline that sometimes forms as price declines during the rounding turn. A breakthrough of a trendline or even a 30% retrace is usually strong enough to command attention from other investors (they jump on the uptrend) and minimizes the chance of a downward breakout.